Would the Indian military leadership have had the ability to get a system like GPS to work in about a decade? Would they have had the public policy capabilities to release it into the public domain as a global public good? There is a greater chance of mistakes, in such efforts in India. Hence, we should be more sceptical about such efforts taking place in an environment of low state capacity.

Learning the meta technology of how to run the state

In the early history of many successful states, the leadership focused primarily on two problems: raising taxes and waging wars. Learning-by-doing took place through the pursuit of these two activities. State capacity in the early days in the UK and in Sweden was learned by building large, complex organizations which raised taxes and waged wars.

The learning-by-doing that took place was not just about the narrow problems of raising taxes and waging wars. The learning-by-doing that took place was about larger ideas about how to organize the state. The general capability of public policy and public administration was learned in these two areas, which was then transplanted into other areas.

This ladder of capability is useful when thinking about the problem of state capacity in India. The strategy for public policy in India should be to pare down the number of objectives to a few core public goods such as the criminal justice system. Our task for a few decades is to learn how to build state capacity in those areas. The problem is not just the narrow question of learning how to run the criminal justice system, but the larger lessons of how to achieve state capacity.

Once we have these capabilities in the country, there would be the possibility of broadening out to a more expansive set of market failures. That would be a political choice for future generations.